EUROPEAN COMMISSION
DG Competition

Case M.10507 - HITACHI RAIL / GROUND TRANSPORTATION SYSTEMS BUSINESS OF THALES

Only the English text is available and authentic.

REGULATION (EC) No 139/2004
MERGER PROCEDURE

Decision on the implementation of the commitments - Purchaser approval
Date: 3/4/2024

EUROPEAN COMMISSION

Brussels, 3.4.2024
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PUBLIC VERSION

In the published version of this decision, some information has been omitted pursuant to Article 17(2) of Council Regulation (EC) No 139/2004 concerning non-disclosure of business secrets and other confidential information. The omissions are shown thus […]. Where possible the information omitted has been replaced by ranges of figures or a general description.

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Dear Sir or Madam,

Subject: Case M.10507 – HITACHI RAIL / GROUND TRANSPORTATION SYSTEMS BUSINESS OF THALES
Approval of Mer Mec S.p.A. as purchaser of Hitachi Rail STS France SAS, Hitachi Rail STS Deutschland GmbH and Hitachi's UK digital mainline signalling business (the 'Divestment Business') following your letter of 31 January 2024 and the Trustee's opinion of 25 March 2024

1. FACTS AND PROCEDURE

(1) By decision of 30 October 2023 (the 'Decision') based on Article 6(1)(b) in connection with Article 6(2) of Council Regulation (EC) No 139/2004,[1] the Commission declared the contemplated acquisition by Hitachi Rail, Ltd. ('Hitachi Rail') of sole control over the Ground Transportation Systems business of Thales SA ('Thales GTS') (the 'Concentration') compatible with the internal market, subject to conditions and obligations (the 'Commitments'). Hitachi Rail and Thales GTS are together referred to as the 'Parties'.

1.1. The Divestment Business

(2) The Commitments provide that Hitachi Rail commits to divest its rail signalling business in France and Germany, complemented by the divestiture of Hitachi

[1] Council Regulation (EC) No 139/2004 of 20 January 2004 on the control of concentrations between undertakings, OJ L 24, 29.1.2004, p.1 (the 'EU Merger Regulation').

Rail's digital mainline signalling assets and resources in the United Kingdom (together the 'Divestment Business'). More specifically, the Commitments consist in the divestment of:

(a) Hitachi Rail STS France SAS: which regroups: (i) several sites, including: one operations site in Les Ulis, one manufacturing site in Riom, one service and maintenance site in Paris and international branches; (ii) ETCS and legacy OBUS contracts for projects in France and other countries, for high-speed and conventional lines; and (iii) the ARGOS platforms with interlockings and ATP wayside overlay projects that are currently under development (the 'ARGOS Platforms', which include the 'ARGOS Wayside Platform' and the 'ARGOS Interlockings Platform').

(b) Hitachi Rail STS Deutschland GmbH: with its business for ETCS ATP wayside and interlockings projects in Germany, which includes: (i) one office for operations in Munich; and (ii) the German WSP platforms that are under development for both ATP wayside overlay projects and interlocking projects (the 'German WSP Platforms' which include the 'German WSP Wayside Platform' and the 'German WSP Interlocking Platform').

(c) Hitachi Rail's UK digital mainline signalling ('DMS') business: the divestiture of Hitachi Rail's digital mainline signalling assets and resources in the United Kingdom was required by the Competition and Markets Authority in the United Kingdom as part of its conditional clearance of the acquisition of Thales GTS by Hitachi Rail. These assets and resources will be carved out from Hitachi Rail and contributed to a new legal entity.

1.2. Purchaser proposal

(3) By letter of 31 January 2024, Hitachi Rail proposed Mer Mec SpA ('Mer Mec') for approval by the Commission as purchaser of the Divestment Business and submitted:

(a) An exclusivity agreement entered into between Hitachi Rail and Mer Mec on 22 December 2023;

(b) A put option agreement, in agreed form between Hitachi Rail and Mer Mec dated 22 December 2023;

(c) A share purchase agreements ('SPA') and its schedules, in agreed form between Hitachi Rail and Mer Mec dated 22 December 2023.[2]

(4) On 25 March 2024, the Monitoring Trustee (the 'Trustee') submitted an assessment of Mer Mec's suitability as a purchaser and, in particular, he indicated that it fulfils the criteria of the purchaser requirements in section D of the Commitments attached to the Decision. In this assessment, the Trustee also indicated that, on the basis of the Proposed Agreement, the Divestment Business would be sold in a manner consistent with the Commitments.

[2] These agreements are together referred to as the 'Proposed Agreements'.

2. ASSESSMENT OF THE PURCHASER PROPOSAL

2.1. Legal framework

(5) According to paragraph 20 of the Commitments, the Commission has to verify that the purchaser fulfils the purchaser criteria and that the Divestment Business is being sold in a manner consistent with the Commitments.

(6) According to paragraph 19 of the Commitments, in its assessment of the proposed purchaser, the Commission should ensure in particular that:

(a) The purchaser shall be independent of and unconnected to Hitachi Rail and its affiliated undertakings (this being assessed having regard to the situation following the divestiture);

(b) The purchaser shall have the financial resources and strength, proven expertise and experience in the rail infrastructure industry, international presence, incentive and objective to maintain and develop the Divestment Business as a viable and active competitive force in competition with the Parties and other competitors;

(c) The acquisition of the Divestment Business by the purchaser must neither be likely to create, in light of the information available to the Commission, *prima facie* competition concerns nor give rise to a risk that the implementation of the Commitments will be delayed. In particular, the purchaser must reasonably be expected to obtain all necessary approvals from the relevant regulatory authorities for the acquisition of the Divestment Business.

(7) The Concentration shall not be implemented before Hitachi Rail has entered into a final binding sale and purchase agreement for the sale of the Divestment Business and the Commission has approved the purchaser and the terms of sale. For the purchaser approval, paragraph 20 of the Commitments specifies that the Commission shall be satisfied that SNCF and Deutsche Bahn would not withhold their consent to the transfer of their backlog contracts[3] to the purchaser.

2.2. Description of the proposed purchaser

(8) Mer Mec is an Italian company, headquartered in Monopoli (Italy), specialised in the design and development of end-to-end measurement, signalling and asset management solutions for railway and rapid transit.[4] Mer Mec's worldwide turnover for 2022 amounted to EUR […].[5] Mer Mec operates six distinct business units, namely:[6]

(a) Diagnostics: this business unit represents the legacy part of the company and is active in the design and construction of high-tech diagnostic and measurement systems for safety management and improvement of railway networks;

3 As defined in the schedule of the Commitments.
4 Hitachi's reasoned proposal of 31 January 2024, para. 12.
5 Trustee's reasoned opinion of 25 March 2024, pp. 20-21.
6 Trustee's reasoned opinion of 25 March 2024, pp. 19-20.

(b) Wayside signalling: this business unit has been developed 15 years ago organically in Italy. With the acquisition of the signalling activities of Sirti S.p.A. ('Sirti') in 2021, Mer Mec significantly expanded its signalling activities in Italy, where it supplies interlockings, radio block centres ('RBC'), lineside equipment, electric traction, telecom networks, etc.;

(c) Asset management: this business unit offers measuring services for the railway sector using vehicles that constantly monitor the safety and reliability of critical sections of the railway infrastructure;

(d) On-board signalling: this business unit is operated by AngelStar S.r.l. ('AngelStar') which is a joint venture [between Mer Mec and Stadler][7]. AngelStar is only active in the supply of on-board signalling units ('OBUs');

(e) Engineering: this business unit is active in the data acquisition and processing (including digital area surveys, 3D reconstruction and territory mobile mapping, territory control and monitoring, and smart cities), computational science and applied electromagnetism (including artificial intelligence, autonomous navigation and self-localisation and radar design and manufacturing);

(f) Rolling stock: this business unit was created after the acquisition of Ferrosud S.p.A., which was active in the manufacturing and revamping of vehicles and wheelsets. [Confidential details about Mer Mec's planned development in relation to rolling stock].

(9) From a geographic point of view, Mer Mec has offices and manufacturing facilities in […] countries,[8] and employs […] people worldwide, including approximately […] engineers.[9]

2.3. Purchaser criteria

2.3.1. Independence from the Parties

(10) According to paragraph 19(a) of the Commitments, the purchaser shall be independent of and unconnected to Hitachi Rail and its affiliated undertakings. Based on the information provided by Hitachi Rail and the Trustee's reasoned opinion, Hitachi Rail and Mer Mec appear to be independent of, and unconnected to each other.

(11) *First*, there are no common board directors or management, cross-shareholdings or other structural or governance links between Mer Mec, Hitachi Rail and its affiliated undertakings.

(12) *Second*, the Commission notes that Hitachi Rail and Mer Mec have some commercial relationships. However, these relationships do not go beyond a limited number of supply agreements and consortia or temporary joint ventures:

(a) Supply agreements: these relationships concern [less than 10] contracts for the supply by Mer Mec of signalling equipment ([confidential commercial activity detail]), diagnostic or measurement systems to Hitachi Rail,

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7 Mer Mec's response to purchaser approval RFI 3, question 2.

8 [EU Member States and third countries where Mer Mec has offices and manufacturing facilities].

9 Trustee's reasoned opinion of 25 March 2024, p. 19.

Thales GTS or their affiliated undertakings. However, the number of these contracts remains particularly limited ([less than 10]) as well as their individual values (always lower than EUR […])[10] which have never exceeded [<5]% of Mer Mec's annual turnover;[11]

(b) Consortia and temporary joint venture agreements: Mer Mec and Hitachi Rail cooperate in the context of four consortia agreements and joint ventures:

– *Saturno consortium*: this consortium was established in 1986 for the purpose of participating in railway high speed tenders and projects in Italy. The members of this consortium include [Hitachi Rail, Mer Mec and two other undertakings]. Mer Mec thus has a minority interest in this consortium, which concerns […][12] of an overall value of approx. EUR […] which accounted for only [<5]% of Mer Mec's worldwide turnover for 2021, [<10]% for 2022 and [<10]% for 2023.[13]

– *CMM4 consortium*: this consortium was established in 2012 for the realisation of Milan's metro line No 4. The members of this consortium include [Hitachi Rail, Mer Mec and two other undertakings]. The interest of Mer Mec in this consortium is marginal. The consortium agreement concerns a project of approximately EUR […] and accounted for only [<5]% of Mer Mec's worldwide turnover for 2021, [<5]% for 2022 and [<5]% for 2023.[14]

– *ATI joint venture concerning the construction of a tramway line in Florence*: this temporary joint venture was created in 2022 for the construction of a tramway line in Florence.[15] The shareholders of the joint venture include [Hitachi Rail, Mer Mec and three other undertakings]. Mer Mec thus has a minority interest in this joint venture, which is supposed to last for only […] more years,[16] and concerns a project of approximately EUR […], which accounted for only [<5]% of Mer Mec's worldwide turnover for 2022 and [<5]% for 2023.[17]

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10 This value refers to the price that Hitachi Rail accepted to pay for the supply of the relevant products. It includes the overall value of the contracts, i.e. over its entire duration (Mer Mec's response dated 11 March 2024 to the monitoring trustee's request for information, question 2).

11 Mer Mec's response dated 11 March 2024 to the monitoring trustee's request for information, question 2.

12 The project started in 2018 and is expected to end in 2026.

13 Mer Mec's response dated 11 March 2024 to the monitoring trustee's request for information, questions 2 and 3. The overall value of this project is calculated over an 8-year period and Mer Mec is entitled each year to only part of the corresponding annual revenues proportionally to its participation in the consortium ([10-20]%).

14 Mer Mec's response dated 11 March 2024 to the monitoring trustee's request for information, questions 2 and 3. The overall value of this project is calculated over a 12-year period and Mer Mec is entitled each year to only part of the corresponding annual revenues, proportionally to its participation to the consortium ([0-5]%).

15 Mer Mec's response dated 11 March 2024 to the monitoring trustee's request for information, question 3.

16 Mer Mec's response dated 11 March 2024 to the monitoring trustee's request for information, questions 2 and 3.

17 Mer Mec's response dated 11 March 2024 to the monitoring trustee's request for information, questions 2 and 3. The overall value of this project is calculated over a 4-year period and Mer Mec

– *ATI joint venture for the supply of ERTM systems to Rete Ferroviaria Italiana ('RFI')*: this temporary joint venture was created in 2022 following the award by RFI of a multi-technology tender for the design and construction of an ERTM system for an overall value of EUR 2.7 billion.[18] The tender was divided into four distinct geographical lots. The first '*Central North*' lot of an amount of EUR 1.3 billion and representing approx. 1 885 kilometres of lines, was assigned to the consortium headed by [Hitachi Rail, Mer Mec and three other undertakings]. Mer Mec thus has a minority interest in this joint venture, which is currently supposed to last for only […] more years. The works expected to be executed by Mer Mec amount to approx. EUR […] and represented only [<5]% of Mer Mec's annual worldwide turnover for 2023.[19]

(13) Supply agreements and consortia between suppliers of rail signalling equipment and rolling stock manufacturers are frequent in the railway sector.[20] In the case at hand, the agreements between Mer Mec and Hitachi Rail are limited to [EU Member State] (where the Divestment Business is not active) and represent a limited share of Mer Mec's annual worldwide turnover (<5%). Therefore, these ongoing and upcoming commercial links between Hitachi Rail and Mer Mec remain limited and insufficient to cast doubt on Mer Mec's independence vis-à-vis Hitachi Rail.

(14) *Third*, the Commission considers that the supply and transitional agreements stemming from the Commitments will not negatively affect the independence of the Divestment Business. To the contrary they intend and contribute to improving the viability and competitiveness of the Divestment Business by providing Mer Mec with the necessary technical support to meet customer requirements and gain customers' confidence, in particular during the start-up period following the acquisition.

(15) The foregoing is consistent with the Trustee's reasoned opinion which confirms that Mer Mec is entirely independent of and unconnected to Hitachi Rail, Thales GTS and their affiliated undertakings. It also confirms that Mer Mec does not have any structural or significant commercial link with any of them.

(16) For the reasons above, the Commission concludes that Mer Mec is independent from, and unconnected to, Hitachi Rail and its affiliated undertakings and that any possible link does not put such independence into question.

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is entitled each year to only part of the corresponding annual revenues, proportionally to its participation to the joint venture ([5-10]%).

18 Mer Mec's response dated 11 March 2024 to the monitoring trustee's request for information, question 3.

19 Mer Mec's response dated 11 March 2024 to the monitoring trustee's request for information, questions 2 and 3. In 2023, Mer Mec's revenues associated to this joint venture amounted to approximately EUR […].

20 Form CO, Annex S.7.1.0.

2.3.2. Financial resources, strength, proven expertise and experience in the rail infrastructure industry, international presence, incentive and objective to maintain and develop the Divestment Business as a viable and active competitor

(17) According to paragraph 19(b) of the Commitments, the purchaser shall have the financial resources and strength, proven expertise and experience in the rail infrastructure industry, international presence, and incentive and objective to maintain and develop the Divestment Business as a viable and active competitive force in competition with Hitachi Rail-Thales GTS and other competitors.

2.3.2.1. Financial resources

(18) Based on the information provided by Hitachi Rail and the Trustee, the table below provides an overview of the main financial indicators of Mer Mec and the Divestment Business. This data shows that Mer Mec has sufficient financial resources in order to maintain and develop the Divestment Business as a viable competitive force on the market.

Table 1: Comparison between the financial indicators of Mer Mec and the Divestment Business

	Mer Mec			Divestment Business		
	2021	**2022**	**2023[21]**	**2021**	**2022**	**2023**
Turnover (EUR million)	[…]	[…]	[…]	[…]	[…]	[…]
EBITDA margin	[…]	[…]	[…]	[…]	[…]	[…]
Net profit margin	[…]	[…]	[…]	[…]	[…]	[…]
Net debt (EUR million)	[…]	[…]	[…]	[…]	[…]	[…]
Current ratio[22]	[…]	[…]	[…]	[…]	[…]	[…]
Quick ratio[23]	[…]	[…]	[…]	[…]	[…]	[…]
Financial leverage[24]	[…]	[…]	[…]	[…]	[…]	[…]
Return on equity	[…]	[…]	[…]	[…]	[…]	[…]
Return on assets	[…]	[…]	[…]	[…]	[…]	[…]
Operating cash flow (EUR million)	[…]	[…]	[…]	[…]	[…]	[…]
Backlog (EUR million)	[…]	[…]	[…]	[…]	[…]	[…]

Source: Hitachi Rail's responses to purchaser approval RFI 1 (questions 6, 7 and Annex 1) and 2 (questions 1, 3, 4 and 5; Mer Mec's response to purchaser approval RFI 2 (question 5).

(19) *First*, Mer Mec is a profitable company with strong financial performance indicators:

(a) Mer Mec's turnover[25] has been growing over the past three years while its EBITDA has remained stable;

21 Unaudited.
22 Current assets / Current liabilities.
23 (Current assets – Stock) / Current liabilities.
24 Net debt / EBITDA.

(b) Mer Mec has a solid balance sheet with EUR […] of equity and total assets of a value of EUR […];[26]

(c) Mer Mec's net debt is *de minimis* (EUR […]) with almost no financial leverage ([…]) in 2023;

(d) In 2023, Mer Mec's backlog has a value of EUR […] in 2023 compared to EUR […] in 2022.

(20) *Second*, the Divestment Business also has positive financial performance forecasts. According to the data submitted by Hitachi Rail and Mer Mec, [30-40]% of the forecasted revenues of the Divestment Business are already covered by existing projects and the Divestment Business is likely to win future tenders for significant projects, which could help the Divestment Business to self-finance its growth and development.[27]

Figure 1 Divestment business – expected order intake

[Confidential Mer Mec's internal document presenting expected order intake of the Divestment Business]

Source: Hitachi Rail's response to purchaser approval RFI 1, Annex 3.

(21) *Third*, the projected financial indicators for the combined entity grouping Mer Mec and the Divestment Business show that the latter's acquisition by Mer Mec is unlikely to degrade the financial situation of the Divestment Business.

Table 2: Projected financial indicators of the combined entity

	Mer Mec + Divestment Business		
	2024	**2025**	**2026**
Turnover (EUR million)	[…]	[…]	[…]
EBITDA margin	[…]	[…]	[…]
Net profit margin	[…]	[…]	[…]
Net debt (EUR million)	[…]	[…]	[…]
Current ratio[28]	[…]	[…]	[…]
Quick ratio[29]	[…]	[…]	[…]
Financial leverage[30]	[…]	[…]	[…]
Return on equity	[…]	[…]	[…]
Return on assets	[…]	[…]	[…]
Operating cash flow (EUR million)	[…]	[…]	[…]

Source: Hitachi Rail's response to purchaser approval RFI 1, question 8.

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25 The turnover of Mer Mec increased by […]% from 2020 to 2021 due to the acquisition of Sirti in 2021.

26 Trustee's reasoned opinion of 25 March 2024, p 37-38.

27 Hitachi Rail's response to purchaser approval RFI 1, Annex 3.

28 Current assets / Current liabilities.

29 (Current assets – Stock) / Current liabilities.

30 Net debt / EBITDA.

(22) As shown above:

(a) The turnover, EBITDA, net profit and operating cash flow of the combined entity are expected to increase over the next […] years;

(b) The current and quick ratios of the combined entity are expected to increase over the next […] years;

(c) The net debt and financial leverage of the combined entity are expected to decrease over the next […] years;

(d) The projected average EBITDA margin of the combined entity over the next […] years ([10-20]%) is in the same order of magnitude as the […]-year average EBITDA margins of Mer Mec ([10-20]%) and the Divestment Business ([10-20]%).

(23) The Commission thus concludes that Mer Mec has sufficient financial resources to maintain and develop the Divestment Business as a viable competitive force in competition with Hitachi Rail-Thales GTS and other competitors.

2.3.2.2. Strength, international presence, proven expertise, and experience in the rail infrastructure industry

(24) In view of the information provided by Hitachi Rail and the Trustee, Mer Mec has the strength, international presence, proven expertise, and sufficient experience in the rail infrastructure industry in order to maintain and develop the Divestment Business as a viable competitive force.

(25) *First*, Mer Mec is an established player with sufficient experience in the rail infrastructure industry in general and rail signalling in particular. Mer Mec was founded in 1988 and is specialized in the supply of diagnostic and signalling equipment for railway networks and vehicles. These two activities accounted for [40-50]% and [40-50]% respectively of Mer Mec's turnover for 2022.[31]

(26) With respect to Mer Mec's diagnostic activities, the Commission notes that Mer Mec has been awarded a number of significant projects for the supply of such equipment in Italy, [as well as EU Member States and third countries].

Table 3: Most significant tenders won by Mer Mec for the supply of diagnostic equipment over the past 10 years

[Confidential list of most significant tenders won by Mer Mec in several EU Member States and third countries for the supply of diagnostic equipment over the past 10 years]

Source: Mer Mec's response dated 19 March 2024 to the monitoring trustee's request for information, question 3.

[31] Trustee's reasoned opinion of 25 March 2024, table 2, p 21.

(27) As to Mer Mec's rail signalling activities, these include both wayside and onboard signalling projects:

Table 4: Past mainline railway signalling projects awarded to Mer Mec in Italy over the past 10 years

[Confidential list of most significant railway signalling projects awarded to Mer Mec in Italy over the past 10 years]

Source: Mer Mec's response dated 19 March 2024 to the monitoring trustee's request for information, question 7.

(28) *Second*, Mer Mec has an international presence since it operates in […] countries and generates [30-40]% of its worldwide turnover outside of Italy.[32]

(29) *Third*, SNCF Réseau, SNCF Voyageurs and Deutsche Bahn have given sufficient comfort to the Commission that they would not withhold their consent for the transfer of their contracts to Mer Mec.[33] These assurances were given after several exchanges between SNCF, Deutsche Bahn and Mer Mec to assess the credibility of Mer Mec as a supplier of mainline railway signalling projects, including in terms of strength, international presence, expertise and experience.

(30) By way of illustration, Deutsche Bahn explained that '*Mermec seems to be an experienced provider of railway infrastructure solutions who aims at expanding its portfolio and who likely has the necessary know-how and financial back-up*'.[34]

(31) *Fourth*, Mer Mec appears to have the required expertise to integrate the activities of the Divestment Business thanks to several successful past acquisitions of companies active in railway infrastructure, including railway signalling. In particular, the data submitted by Mer Mec shows that Mer Mec managed to successfully integrate the activities of Sirti after its acquisition in 2021:

Table 5: Financial performance indicators of Mer Mec's railway signalling business after the acquisition of Sirti in 2021

Financial Performance Indicators	**Sirti Transportation**	**Mer Mec STE** *(corresponding business line post Mer Mec acquisition)*		
	2020 *(EUR million)*	**2021** *(EUR million)*	**2022** *(EUR million)*	**2023** *(EUR million)*
Turnover	[…]	[…]	[…]	[…]
EBITDA	[…]	[…]	[…]	[…]
EBITDA margin	[…]	[…]	[…]	[…]
Net profit	[…]	[…]	[…]	[…]
Net profit margin	[…]	[…]	[…]	[…]

Source: Mer Mec's response dated 19 March 2024 to the monitoring trustee's request for information, question 12.

32 Trustee's reasoned opinion of 25 March 2024, p. 19.

33 See section 2.3.4 below.

34 Minutes of a call with a customer of the Divestment Business on 22 February 2024.

(32) The assessment above is consistent with the Trustee's reasoned opinion according to which Mer Mec fulfils the criteria set out in paragraph 19(b) of the Commitments.[35]

(33) Against this background, the Commission concludes that Mer Mec has the strength, international presence, proven expertise and experience in the rail infrastructure industry to maintain and develop the Divestment Business as a viable and active competitive force in competition with Hitachi Rail and other competitors going forward.

2.3.2.3. Incentive and objective to maintain and develop the Divestment Business

(34) In light of the information provided by Hitachi Rail and the Trustee, Mer Mec appears to have the incentive and objective to maintain and develop the Divestment Business.

(35) *First*, Mer Mec realised close to [a large majority][36] of its wayside signalling activities in Italy and plans to expand its mainline railway signalling activities abroad through this transaction.

Figure 2: Ark's and Mer Mec's business plans

[Confidential Mer Mec's internal document presenting the Divestment Business's and Mer Mec's business plans]

Source: Hitachi Rail's response to purchaser approval RFI 1, Annex 3.

(36) *Second*, wayside signalling represents [60-70]% of the Divestment Business' turnover for 2023,[37] of which [90-100]% is achieved in France, Germany and the UK.[38] Mer Mec has never won any railway signalling project in these countries, which will give it a strong incentive to maintain and develop the activities of the Divestment Business in these three Member States.

(37) *Third*, the Information Memorandum prepared by Hitachi Rail lists [EU Member State] and [EU Member State] as logical markets on which the Divestment Business could easily expand in the future.

Figure 3: Extract from the information memorandum prepared by Hitachi Rail

[Figure containing confidential information on the Divestment Business's internal strategy not in the public domain]

Source: Information Memorandum prepared by Hitachi Rail, p. 39.

(38) Given that Mer Mec has never participated to any mainline railway signalling project in these countries it will have a strong incentive to enter and develop the activities of the Divestment Business in these countries.

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35 Trustee's reasoned opinion of 25 March 2024, p. 39.

36 [Confidential information about *de minimis* signalling project carried out by the Mer Mec Group in the EU but outside of Italy].

37 Hitachi Rail's response to purchaser approval RFI 2, question 5.

38 Confidential Information Memorandum, p. 19.

(39) This is consistent with the Trustee's reasoned opinion, which confirms that Mer Mec's strategy is to expand internationally in rail signalling and develop the Divestment Business.[39] In view of the foregoing, the Commission concludes that Mer Mec will have the incentive and objective to maintain and develop the Divestment Business.

2.3.3. Absence of prima facie competition problems or risk of delayed implementation

(40) According to paragraph 19(c) of the Commitments, the acquisition of the Divestment Business by the purchaser must neither be likely to create *prima facie* competition concerns nor give rise to a risk that the implementation of the Commitments will be delayed.

(41) In light of the data submitted by Mer Mec and Hitachi Rail, the acquisition by Mer Mec of the Divestment Business is unlikely to raise prima facie competition concerns. This is because such an acquisition would give rise to limited horizontal overlaps at EEA level only,[40] with regard to[41] (i) ETCS ATP wayside resignalling projects in the EEA, (ii) ETCS ATP wayside overlay projects in the EEA and (iii) ETCS OBU projects in the EEA. However, none of these markets is affected as the combined market shares of the new entity would remain below [0-5]% under any plausible market definition.[42]

(42) The acquisition of the Divestment Business by Mer Mec is also unlikely to face additional obstacles which could delay its implementation. In particular, the acquisition does not trigger merger control filings and only triggers two foreign direct investments ('FDI') filings in [EU Member State] and [third country]. Mer Mec has already formally notified the transaction, in [EU Member State], on [confidential information on date of notification], and in [third country], on [confidential information on date of notification]. According to Mer Mec, the acquisition of the Divestment Business should be cleared by [EU Member State] and [third country] authorities by early June 2024.[43]

(43) This is consistent with the reasoned opinion of the Trustee, who does not expect any obstacle in obtaining the relevant clearances from the relevant [EU Member State] and [third country] authorities within the standard review period.[44]

(44) In view of the foregoing, the Commission concludes that the acquisition of the Divestment Business by Mer Mec does not create *prima facie* competition concerns nor does it give rise to a risk that the implementation of the Commitments will be delayed.

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39 Trustee's reasoned opinion of 25 March 2024, p. 47.

40 The activities of Mer Mec and the Divestment Business do not overlap at national level in the EEA.

41 The activities of Mer Mec and the Divestment Business do not overlap for the supply of any other mainline railway signalling project or product in the EEA.

42 This conclusion is based on all plausible market definitions left open in the Commission's decision of 30 October 2023 in case M.10507 – Hitachi Rail / Ground Transportation Systems Business of Thales.
For ETCS OBU projects, these market share estimates take account of 100% of the sales of the AngelStar joint venture between Mer Mec and Stadler (see Mer Mec's response to purchaser approval RFI 3, question 1).

43 Hitachi Rail's response to purchaser approval RFI 1, question 17.

44 Trustee's reasoned opinion of 25 March 2024, pp. 44-45.

2.3.4. Main customers' consents to the transfer of their contracts to Mer Mec

(45) According to paragraph 20 of the Commitments, in order to approve the purchaser, the Commission shall be satisfied that the consents from SNCF and Deutsche Bahn in relation to the transfer of their relevant backlog contracts (as defined in the schedule of the Commitments) to the purchaser would not be withheld.

(46) On 25 March 2024, SNCF Réseau, SNCF Voyageurs and Deutsche Bahn signed three consent letters by which they expressly confirmed that they do not intend to withhold their consents for the transfer of their ongoing contracts with Hitachi Rail, as a result of the acquisition of the Divestment Business by Mer Mec.

(47) As Deutsche Bahn explained: '*Mermec does not seem new to the signalling business, and they seem to have a good base to build up a future business. Mermec would still need to go through certification processes to have their products certified by the Company* [Deutsche Bahn]. *However, Mermec probably fulfils requirements in other countries that might be similar to those in application in Germany*'. [45]

(48) In view of the foregoing, the Commission is satisfied that SNCF Réseau, SNCF Voyageurs and Deutsche Bahn will not withhold their consent to the transfer of their contracts to Mer Mec.

2.3.5. Conclusion on the purchaser criteria

(49) On the basis of the above considerations and the information provided by Hitachi Rail, and taking into account the reasoned opinion submitted by the Trustee, the Commission concludes that Mer Mec meets all purchaser criteria set out in clauses 19 and 20 of the Commitments.

2.4. Sale in accordance with the Commitments

(50) The acquisition of the Divestment Business will be made through a newly established special purpose vehicle ('SPV') which will acquire the Divestment Business. Mer Mec will hold [a majority]% of the share capital of the SPV alongside Bpifrance ('BPI') and BNP Paribas Développement ('BNPP') which will each own [10-15]%. The board of directors of the SPV will be composed of […] members. BPI and BNPP will each have […] representative while Mer Mec will appoint the […] remaining members, including the CEO and Chairman. The veto rights granted to BPI and BNPP will concern *inter alia* decisions regarding the entry into material contracts of a certain value and any material change in the nature of the activities or strategy of the Divestment Business.[46] As such, these veto rights are limited to what is necessary to protect the investment of BPI and BNPP. Therefore, they will not confer joint control to BPI and/or BNPP over the SPV.

(51) For the purpose of the transaction, Hitachi Rail and Mer Mec first entered on 22 December 2023 into (i) an exclusivity agreement, (ii) a put option agreement

45 Minutes of a call with a customer of the Divestment Business on 22 February 2024.

46 Hitachi Rail's response to purchaser approval RFI 1, question 16.

and (iii) a draft of the share purchase agreement in agreed form. In addition, Hitachi Rail and Mer Mec entered into several ancillary agreements.[47]

(52) The Trustee has conducted a thorough review of the Proposed Agreements and their ancillary agreements. According to the Trustee, these agreements are compliant with the Commitments.[48] Two main adaptations to the Commitments must however be highlighted.

(53) *First*, the Proposed Agreements stipulate that only [0-5] '*Italy-based suitably qualified engineers from Hitachi Rail*' will be seconded to the Divestment Business, contrary to the minimum number of [5-10] initially foreseen in the Commitments.[49] The purpose of this secondment program was to achieve the homologation of the signalling platforms being divested, to ensure the effective transfer of the divested platforms and to further strengthen the competitiveness of the Divestment Business.

(54) Based on the Trustee's assessment, the Commission considers that the range of technological skills required by the Divestment Business is potentially wide and may therefore require input from a large number of specialists, though only a limited number of hours from each. A secondment of a large number of engineers would therefore not be the optimal solution to address the Divestment Business' needs. In this context, Mer Mec, the Hold-Separate Manager and Hitachi Rail commonly agreed that it would be in the interest of Mer Mec and the Divestment Business to ensure that the new entity has access to a limited number of hours of a broad range of specialized people. As a result, the Divestment Business has carefully selected [0-5] individuals that not only have the right skills but also know the Divestment Business, and can serve as contact points to personnel retained by Hitachi Rail which may hold required expertise. In any event, Mer Mec will remain able to request further seconded employees according to its business needs (up to [5-10]).[50]

(55) This is consistent with the view expressed by the Trustee in his reasoned opinion, according to which this solution will not adversely impact the effectiveness of the Commitments.[51]

(56) *Second*, Hitachi Rail committed to provide all reasonable further additional contractual assurances required to ensure the proper transfer to Mer Mec of the divested technologies, with appropriately measurable milestones and KPIs.[52] Yet, the Proposed Agreements do not include or define any additional contractual assurance, measurable milestones or KPI in this respect.

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47 These agreements include: (i) a transitional services agreements ('TSA'), (ii) a Reverse TSA ('RTSA'), (iii) a CBTC agreement, (iv) a sublease agreement, (v) a supply agreements, (vi) a reverse supply agreement, (vii) a license agreement, (viii) a reverse license agreement and (ix) two technology transfer agreements.

48 Trustee's reasoned opinion of 25 March 2024, p. 35.

49 Schedule of the Commitments, clause 2(g).

50 See clause 11.1 of the ARGOS Transfer of Technology and German WSP Transfer of Technology Agreements.

51 Trustee's reasoned opinion of 25 March 2024, pp. 31-32.

52 Schedule of the Commitments, clause 2(i)(1).

(57) Based on the Trustee's assessment, Mer Mec and the Divestment Business do not consider necessary to have additional contractual assurances with measurable milestones or KPIs for the transfer of the divested technologies.[53] This is because:

(a) The fact that Mer Mec would have a direct recourse against Hitachi Rail and [confidential information about commercial agreements],[54] clarifies the conditions under which Hitachi Rail can be held liable in case it fails to perform its respective duties and obligations.

(b) Hitachi Rail and Mer Mec negotiated and agreed [confidential information about commercial agreements], as reflected in the SPA, which would be triggered in case of delay in the homologation of the ARGOS IXL or ARGOS RBC platforms.[55]

(58) This is in line with the view expressed by the Trustee in the reasoned opinion, who confirmed that Mer Mec considered the combined effect of the aforementioned [confidential information about commercial agreements] regime and [confidential information about commercial agreements] sufficient to ensure the proper transfer of the divested technologies.[56]

(59) The Hold-Separate Manager also confirmed that (i) the intensive training currently being carried out, (ii) the secondment of […] Hitachi Rail engineers, (iii) the transitional service agreement entered into between Hitachi Rail and the Divestment Business and (iv) [confidential information about commercial agreements] entered into between Hitachi Rail, SNCF Réseau, SNCF Voyageurs and Deutsche Bahn provide sufficient support for the transfer of the divested technology to the new entity.[57]

(60) In view of the foregoing and taking into account the Trustee's reasoned opinion, as well as the information submitted by Hitachi Rail, the Commission concludes that the Proposed Agreements are consistent with the Commitments and that the Divestment Business is being sold in a manner consistent with the Commitments.

3. CONCLUSION

(61) On the basis of the above assessment, the Commission approves Mer Mec as a suitable purchaser of the Divestment Business. The Commission further concludes that the Divestment Business is being sold in a manner consistent with the Commitments.

(62) This decision only constitutes approval of the proposed purchaser identified herein and of the Proposed Agreements. This decision does not constitute a confirmation that Hitachi Rail has complied with its Commitments.

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53 Trustee's reasoned opinion of 25 March 2024, pp. 33-34.
54 Trustee's reasoned opinion of 25 March 2024, pp. 33-34.
55 Trustee's reasoned opinion of 25 March 2024, pp. 33-34.
56 Trustee's reasoned opinion of 25 March 2024, pp. 33-34.
57 Trustee's reasoned opinion of 25 March 2024, p. 34.

(63) This decision is based on clauses 19 and 20 of the Commitments attached to the Commission Decision of 30 October 2023.

For the Commission

(Signed)
Olivier GUERSENT
Director-General